REPUBLIC OF THE PHILIPPINES

COMMISSION ON AUDIT

REGIONAL OFFICE NO. XI

C.P. Garcia Highway, Buhangin, Davao City

May 14, 2024

Honorable JOSE E. RELAMPAGOS
City Mayor
City Government of Panabo
Province of Davao del Norte

OFFICE OF THE CITY MAYOR
RECEIVED
DATE: 5-15-24
RECEIVED BY:
ENRRIL DEPALUBOS
CMO STAFF
PANABO

Dear Mayor Relampagos:

We are pleased to transmit the Annual Audit Report of the City Government of Panabo, Province of Davao del Norte for the calendar year 2023, pursuant to Section 2, Article IX-D of the Philippine Constitution and Section 43 of the Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The audit was conducted to (a) ascertain the fairness of presentation of the financial statements; (b) ascertain the propriety of financial transactions and compliance with prescribed rules and regulations; c) to determine whether the resources of the government were utilized economically, efficiently and effectively; d) recommend agency improvement opportunities; and (e) determine the extent of implementation of prior years' audit recommendations.

The attached report consists of four parts. Part I contains the Audited Financial Statements, Part II details our Observations and Recommendations, Part III indicates the Status of Implementation of Prior Years' Audit Recommendations, and Part IV presents the Annexes.

We conducted the audit in accordance with applicable International Standards of Supreme Audit Institutions (ISSAIs), and we believe it provides a reasonable basis for our opinion.

We rendered a qualified opinion on the fairness of presentation of the year-end financial statements of the City Government of Panabo as at December 31, 2023 and its financial performance and cash flows for the year then ended.

Other significant observations noted in audit are the following:

1. Low utilization of LDRRM Fund at 42.44 percent or P66.886 million only, out of P157.617 million total available funds from the 70% mitigation fund and prior years' unexpended balances caused by the delay and non-implementation of LDDRM PPAs programmed for CY2023 undermines the City's objectives to strengthen its capacity to build disaster resilience and enhance disaster preparedness and response capabilities.

2. Five (5) infrastructure projects programmed under the 20% Development Fund and twenty (20) Locally Funded Projects for the years Calendar Year (CY) 2022 and below with total appropriation and allotment of P135,051,783.54 were neither started nor completed as at December 31, 2023 inconsistent with the provisions of Presidential Decree No. 1445 and other pertinent laws, rules and regulations, thus, affecting the City Government's efficiency in delivering the timely and optimum benefits derived from the projects.

3. Suspension and Extension orders for various infrastructure projects funded under LGSF-Assistance to Cities, LGSF- Support to Barangay Development Program (NTF-ELCAC), and Locally Funded Projects were rendered doubtful due to incomplete documentary requirements to support the validity and reasonableness of its approval as provided under Annex "D" of the Revised IRR of RA No. 9184 of 2016.

4. Deficiencies in the internal control on processing and reporting of fuel grant, consumption and utilization as well as in the preparation and approval of trip tickets renders the reasonableness of fuel consumption amounting to P50,575,841.96 and the use government vehicles doubtful and uncertain.

5. Deficiencies in the internal control and unclear policy/ guidelines for the grant of financial assistance to individuals resulted to unreliable validation of beneficiaries, varying amount of cash assistance granted, operational inefficiencies and difficulty in monitoring and evaluation of accountability, thus, exposes government funds to possible misuse.

The details of these significant audit observations, together with the recommended courses of actions, are discussed in Part II of the report.

We request that the recommendations be immediately implemented and we will appreciate being informed of the action(s) taken thereon by submitting the attached duly accomplished Agency Action Plan and Status of Implementation (AAPSI) within 60 days from receipt hereof.

We express our appreciation for the valuable support and cooperation extended to the Audit Team by the officials and staff of the City Government.

Very truly yours,

ATTY. EMILIO A. ASI, JR.
Director IV
Regional Director

Copy furnished:

1. *The Regional Director, DILG, Regional Office No. XI, Davao City*
2. *The Regional Director, BLGF, Regional Office No. XI, Davao City*
3. *The Regional Director, DBM, Regional Office XI, Davao City*
4. *The Honorable Members of the Sangguniang Panlungsod*
   Thru: The Secretary, Sangguniang Panlungsod, City Government of Panabo, Davao del Norte
5. *The Assistant Commissioner, Local Government Sector, COA, Quezon City*
6. *The Regional Director, COA RO XI, Davao City*
7. *The National Library, T.M. Kalaw Street, Ermita, Manila*
8. *The UP Law Center, Bocobo Hall, UP Law Complex, UP,Diliman, Quezon City*